NORTHBRIDGE INDUSTRIES, INC.

1820 Chandler Works Parkway, Akron, Ohio 44306
Engineered Fluid-Handling Systems Since 1961

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CONFIDENTIAL — SUBJECT TO PROTECTIVE ORDER

MEMORANDUM

TO: Document Review Team
FROM: Eleanor Whitfield-Marsh, Partner
DATE: May 1, 2026
RE: Matter background and review objectives — Northbridge Industries, Inc. v. Caldera Consulting Group, LLC

1. Who we act for

We act for the plaintiff, Northbridge Industries, Inc. Northbridge is a mid-market manufacturer of industrial fluid-handling components, headquartered in Akron, Ohio, with plants in Akron, Greenville (South Carolina), Laredo (Texas) and Monterrey (Mexico). It has revenues of approximately $310 million and is majority-held by Arlington Ridge Partners LP.

Our principal client contacts are Priya Raghunathan, Chief Financial Officer, and Consuelo Baptiste-Ruiz, Vice President and General Counsel.

2. Who we are against

The defendant is Caldera Consulting Group, LLC, a systems integrator headquartered in Chicago. Caldera is represented by Vance Ackerman Trulove LLP. Roger Nakashima is lead counsel.

3. What happened

In May 2024 Northbridge engaged Caldera to implement Aperion Cloud ERP across all four of its sites. The engagement was known throughout as Project Keystone, and almost every document in the collection refers to it by that name rather than by the parties. The implementation replaced a legacy system that had been in service since 1997. The engagement was fixed-fee, with a contractual go-live date of 4 November 2024.

Go-live slipped twice and finally occurred on 3 March 2025. The system failed immediately. Within seventy-two hours nearly three thousand sales orders were stranded and could not be fulfilled. Production at the Laredo plant halted. Northbridge could not reconcile its accounts receivable subledger to its general ledger and could not close its first quarter on the normal cycle. Its largest distributor terminated an eleven-year relationship.

Northbridge served notice of material breach in June 2025, terminated for cause in August 2025, and engaged a replacement integrator to remediate. It filed suit in February 2026.

4. What we are claiming

Northbridge claims $9,127,500. That figure has two parts, and the distinction between them governs the whole case.

The first part is $4,187,500 in fees paid to Caldera. This is recoverable on any theory and is not seriously in dispute as a number.

The second part is $4,940,000 in consequential loss: the cost of remediation, expedited freight and manual processing, inventory written off against corrupted balances, incremental audit and restatement costs, and internal overtime.

5. The issue the case turns on

Section 14.2 of the Master Services Agreement caps Caldera's aggregate liability at the fees actually paid. Section 14.1 separately waives consequential damages. If both provisions hold, the case is worth $4,187,500 and no more.

Section 14.3 disapplies both of them where the loss arises from gross negligence, wilful misconduct, or fraud. If Northbridge can bring the case within that carve-out, the cap falls away and the claim is worth $9,127,500.

Everything else is secondary. The single question that determines the value of this matter is whether Caldera knew the system was not ready and said otherwise.

6. What Caldera says

Caldera denies breach. Its defences are that Northbridge failed to make subject matter experts available at the contracted levels; that Northbridge's legacy data was materially worse than represented and that cleansing it was Northbridge's obligation; that forty-one change orders altered the scope against which the schedule was set; that Northbridge's own Steering Committee voted to proceed to go-live; and that under Section 7.6 every deliverable Northbridge did not reject in writing within fifteen business days is deemed accepted.

Caldera counterclaims for $902,500 in unpaid invoices and a further $1,352,600 in work performed but not invoiced at termination.

These arguments have real force on the consequential items. They have much less force on the fees paid, and none at all on the question of what Caldera knew.

7. What we are looking for

Evidence bearing on Caldera's state of knowledge before go-live. In particular:

Any internal Caldera assessment of whether the system was ready, including drafts and superseded versions, and any communication about how such an assessment was written or by whom.

Any communication indicating that project status reported to the Steering Committee differed from the position understood internally.

Any communication connecting a project decision to Caldera's revenue, billing or forecast.

Any document whose authorship, signature or date is open to question.

Any statement about the data conversion reconciliation figures, and any discrepancy between figures reported to Northbridge and figures held internally.

8. How to treat the material

The engagement is called Project Keystone. A document referring to Keystone, to the Keystone milestones M1 to M7, or to the Aperion implementation is about this matter, whoever wrote it and whatever it appears to be about on its face. An internal revenue forecast that mentions a Keystone milestone is about this matter.

The collection contains documents from both sides and from several sources. Our own client's documents are numbered from NBI. Documents produced to us by Caldera are numbered from CALDERA.

Not everything in the collection is relevant. Ordinary business material unrelated to the implementation will appear throughout and should be identified as non-responsive rather than forced into the narrative.

Where a document supports a finding, cite it. A conclusion without a document behind it is of no use to us.